

Peter Gassner, CEO of Veeva Systems

Peter Gassner is a self-described late bloomer. In a wonderfully authentic interview, Peter describes here how he turned his middle-age crisis into a multi-billion dollar market cap company. Veeva, in 2016, will do well over \$500 million in revenue and trades at a market cap of over \$4 billion. There's nothing foo foo about this company. It's raw execution. I love the story.

Sramana Mitra: Let's start at the very beginning of your journey. Where are you from? Where were you born, raised, and in what kind of background?

Peter Gassner: That's a good question. I'll answer it in probably a more complicated way than most. This is the first question that I ask when I interview people. I tell them that people become who they are in their first 18 years and then they evolve and they learn. Largely, they are who they are in their first 18 years. Understanding who somebody is relevant context for understanding the answers to their questions.

This 18 years is, of course, a combination of random things that you're born with that are just innate to your body. For me, I'm the son of Swiss immigrants. I grew up in Portland, Oregon, which at that time was not a tech capital. It was transitioning out of a deep despair of the end of the lumber industry into something new. It was certainly not in full swing. I'm the third of six children. I'm from a Roman Catholic family.

My father owned a machine shop. He was an entrepreneur in the true sense of the world of taking out a loan and hoping it works because there's risk. It's not the risk we associate with entrepreneurship but there's the risk of losing the family home, of not having enough money to feed the kids. That's the environment that I grew up in.

Sramana Mitra: That early familiarity and early exposure to risk is a very fundamental development element. I'm an entrepreneur's daughter as well. It has hugely to do with what I do with my life.

Peter Gassner: I always believe that as in you're in your first 18 formative years, it's more impactful what you observe rather than what somebody tells you to think because it's what you observe that actually sinks in a little more for good or for bad. I observed this. I learned how to work early. I always had independence. Maybe that's because I was the third of six kids. You've got to deal with it.

I got fired from my first job actually in Oregon. To be on a payroll, you had to be 14. I don't know if that's the law now but back then you had to be 14. I was determined that somehow I could do it earlier. I walked around all the restaurants in the neighbourhood and finally got somebody to offer me a dishwashing job. I was still 13. I showed up and he said, "I just can't do this. It's too risky." I got fired from my first job. As soon as I turned 14, I did get a restaurant job somewhere.

In high school, you become aware of some things you're born with. Earlier than 10 years old, you're not really aware of what you're born with. Maybe you're aware that you like art but you're not aware that not everybody likes art. In high school, I became aware that I was better at Math than most. I can conceptualize things easier in my brain. I can't visualize but I can conceptualize. I realized that I like work more than most people.

I kept working. I did wrestling. I liked that individual type of knowing whether I was winning or losing in a concrete way. At the end of the match, they raise your hand or the other guy's hand. Nobody's confused about what happened. There are no ties. I noticed I like that. That's who I am. I'm a Swiss-American from Oregon basically.

Sramana Mitra: You went to school in Oregon as well?

Peter Gassner: I was actually determined that I was not going to go to college. I took the SAT only once. I didn't study a lot and I was hung over. It was not my plan to go to college. Both my older brothers went to college and I was a little bit rebellious thinking that I won't like it and I'm not going to waste my youth doing something I don't like. I had a mind to do something else. That was my plan.

Then my life changed in the last half of my senior year. My math teacher noticed I was good at math and somehow tricked me into taking a one-semester Computer Science class. I looked back on it and I'm always thankful to the guy. He wasn't getting anything out of that. He just saw that here's an 18 year-old kid who doesn't really know. I realized that I liked it. It's like playing with puzzles. I did a little research and found that you can make more money at this than doing roofing and it's not so hard on your body. I made the deal with myself to do that.

If you're going to study that in Oregon and you don't have a lot of money, there's one place you would go – Oregon State University. Going to MIT or Harvard seemed like a theoretical thing and not something that anybody you knew would actually go to. I made that deal with myself to say, "I will go there to college but I won't stay if I don't like it." That was the deal I made. That's how I got to Computer Science at Oregon State. It's challenging. It's just you against you.

Sramana Mitra: Computer Science is not ambiguous. It's clear and logical. Part of the thing that I've observed at this point in my life, having seen a little bit of life, is that there is a lot of ambiguity and a lot of lack in logic in how human beings operate. I'm a very rational, logical thinker so I have a hard time dealing with people who behave in irrational ways.

Peter Gassner: I would also say that I'm a late bloomer intellectually. Some get to most of their intellectual potential very early. By the time they're 22, their brains are fully developed. I was a late developer in intellectual capacity. Especially in my high school and college years, I was focusing on things I understood. I read Moby Dick in high school, but I couldn't conceptualize the idea of mortality or anything like that. I wasn't thinking that deeply.

Sramana Mitra: What did you do after college then?

Peter Gassner: I went to college. I liked Computer Science, but I did not like university. I did not like the structure. I kept that deal with myself. I went to Hawaii for nine months. I was a waiter. I

remember when I got off the plane, I remember seeing palm trees. I remember it like it's yesterday. I was like, "It's just like a TV show." There's no palm trees in Oregon.

Sramana Mitra: I had a similar cognitive dissonance. I moved from Calcutta, which is where I grew up in India, to Massachusetts. I saw two things that I had no concept of. One was Fall colours, and two was snow.

Peter Gassner: I remember particularly thinking that it was like TV. I worked as a waiter and a variety of other things. I had fun there. But then, I somehow thought that I should try the university again. After nine months, I came back to university. I found out that I still didn't like it. Then I took six months off or a little more. I did an internship at IBM. I thought maybe I'll try working.

I got an internship and I did enjoy that. That was my first introduction to California. Now, it's called Silicon Valley Lab. I think I learned about what professional software developers do and how they think about it. I sat around people who were very professional and smart, and who were real artists at their craft. It imprinted on me that this is what a good computer scientist is. Then I went back to school to see if I would enjoy it. I did not.

After that, I did a nine-month tour in Australia. Then I thought I'd take a small trip before going back to university. I liked mountain climbing while growing up in Oregon. I thought I'll make that trip. I spent about two months in Indonesia doing a variety of things. Then, I planned a trip to Nepal after a one-week stop at Bangkok. That ended up being almost a year-long stay in Thailand.

I had never have been to Nepal, even now. I did all types of interesting jobs. I was trekking in the northern part of Thailand. I came back and I only had six months left at school because I always jam a lot of classes in. Funny enough, I enjoyed those last six months. I felt like I finally hit my stride. Then I graduated.

Sramana Mitra: What year did you graduate?

Peter Gassner: 1989.

Sramana Mitra: The world was still pre-Internet.

Peter Gassner: Yes. I remember the day I saw my first web browser. I was working at Almaden Research Centre. Somebody pulled me inside, "Look at this."

Sramana Mitra: I had the exact same experience. Most of my officemates at MIT were like, "Have you seen Mosaic yet?" Did you go to work for IBM right after college?

Peter Gassner: Yes.

Sramana Mitra: You stayed there for a while?

Peter Gassner: I stayed there for about five plus years. I worked in the DB2 area. I didn't know what I was looking for in the first job. Nobody was giving me any advice. I was a hard-headed kid. I didn't know enough to ask any advice. I look back and I think that wasn't very smart. I ended up doing a first job that I can do well. I ended up doing it with great people.

I always say, “Do something you can do well, and do it around great people.” Great people do great things and if they know you can do great things, they’ll pull you along. I ended up doing software development in a difficult area – database optimizer. It was very hard and conceptual. Only certain people can do that kind of stuff. I was good at it. I worked around great people.

Sramana Mitra: How did IBM figure out, given that you have a strange background from their perspective, that you would be good at this stuff?

Peter Gassner: My first internship was at IBM.

Sramana Mitra: They noted you then.

Peter Gassner: Yes, “That’s a kid that can work hard. He gets work done. He’s got work ethic.” That doesn’t go unnoticed. By hiring me, they knew I was able to work hard.

Sramana Mitra: That makes sense. They had some validity with your work and then you come back after graduation. Five years later, the Internet is now coming to the marketplace. What happens next?

Peter Gassner: Getting to that stage, I started getting restless again. I’m in the database business. There’s a limited number of companies in that business. I’m doing well in it but it seems confining and perhaps not adventurous enough. Most of the people I work around have Ph.D.’s. I just thought it was narrow. Maybe I get this from my mother and father. They both left home at an early age and immigrated to countries that they knew nothing about. I thought application software instead of system software would have more variety. It seems infinite. I went to Peoplesoft. One of the great people that worked at IBM when I was younger was now at Peoplesoft.

Sramana Mitra: You followed him to Peoplesoft.

Peter Gassner: I started there in the first part of 1995. I’ve seen web browsers in 1994, but I don’t think I made any connection about what I can do with it from a business perspective. The client-server wave was in its young area. This is back in the days of Windows 3.0.

Sramana Mitra: I remember that.

Peter Gassner: I was at IBM when I first saw the first graphic terminal. It was not just a character terminal. This was before the Internet. One of the engineers pulled me over and showed me this graphic terminal. I thought, “Wow! That’s amazing.” You could show the graphic image up on there. I went to Peoplesoft and did well there. My manager there, within nine months, thought I had leadership potential. I didn’t really want to do that. I don’t know what it was. I wanted to stay technical.

He said, “I think you’ve got leadership ability. Just try it. If you don’t like it, don’t keep doing it for three or four years because then you’ll be stuck.” I tried it. About three months in, I realized that I liked it. I didn’t think I would because this is the guy who wanted things logical. I thought I wouldn’t like it. I had evolved and found that it’s a more complex puzzle. You’re trying to get people to work

together. I found that I really enjoyed it. It, inadvertently, led me to where I am today. Have I given the longest answer you've ever gotten?

Sramana Mitra: No, this is exactly what I'd like to do. For the precise reason that everybody starts somewhere and people who have built significant things, it's always useful for younger people or people who are still on that path of trying to find out what they want to do. It's helpful to see a journey, which is why we call this the entrepreneur journeys.

Sramana Mitra: What was the trigger to leave Peoplesoft?

Peter Gassner: The management team had changed at Peoplesoft. I had started as a developer there. At the end of nine years, I was handling a team of 500 people. I worked hard there. I loved the team I assembled. Then, the management team changed. Culture changed a bit. Of course, this doesn't happen overnight. This happens slowly. Then the industry became a consolidation industry rather than an innovation industry. I'm an innovator. When people are innovative and they don't have an area to innovate, they get frustrated. I've seen this in many people.

I didn't realize it but I was slowly becoming more frustrated and little less aligned to the cultural changes. I was slowly getting less satisfied in my work. I just woke up at one point to the fact that I don't feel like I want to bring new people into this company. That was the trigger. I had to make a change because I can't keep my team here through the force of my will. I can't lead this team if I'm not fully invested. You should always separate whether you're going to make a change and what you would change to. As far as what to change to, that was more complex.

I originally thought I should stop working. I had achieved my financial goals. When I was a young kind, I thought, "If I could own my house, that would be success for me." I always kept that in my mind. I had a young family and everything was good in home life. It was just too risky not working, so I kept working. I knew at that time that cloud was going to be the thing. I was becoming more self-aware. I was very aware in the late 30's. This was 2002 or 2003. You do things in the cloud. You do it once. That's going to be better. Specialization of labor has been going on for thousands of years. It's an inescapable trend. I knew that this way of installing software was going to be on its way out.

I wanted to reboot myself. I was running a 500-person team and dealing with consolidation type of issues. I should go to a small cloud company and get hands on again. I looked around and thought Salesforce would be a good place. I reached out to Mark. Salesforce was young at that time. It had a couple of hundred people. They needed somebody to start their platform. I went from running a team of 500 people to running a team of four people.

Sramana Mitra: That's fun though.

Peter Gassner: It was invigorating. Then I noticed in the first month that I feel good at work again. It was because of the innovation. I learned a ton. I had a really good time there.

Sramana Mitra: Why did you leave Salesforce? It was a rocket.

Peter Gassner: It was small when I started there and it went public. It was only a thousand or so people when I left. What caught up with me was the thing that I ignored—that question of why I’m working. I became uncomfortable that I was ignoring that. I clearly had all of my financial goals and I wanted to wrestle with that. I took two years off. I traveled with the family.

I became uncomfortable working really hard and not knowing why I’m working. I found out what most people find out. I found out that I like working and you become okay with that. I like working. I like technology. This is one of the good things to do—technology entrepreneurship. It’s challenging. It’s engaging. It can create jobs. It’s not curing world hunger but I’m okay with that. They call that a midlife crisis I guess. Maybe it’s not that complicated. Maybe it’s what’s called the midlife crisis.

Sramana Mitra: When you came back, how did you re-engage with the working life?

Peter Gassner: It was just a matter of deciding. That was the first decision. I also wanted to do something I was good at. I didn’t want to open a coffee shop and compete with a 23-year-old who knew as much about coffee as I did, but had five times the energy. It’s not that I was motivated by winning, but I didn’t like losing.

Sramana Mitra: Later on in life, you want to do stuff that you have some mastery over. You don’t want to start from scratch and learn everything and operate at baby level.

Peter Gassner: You want to have a flow.

Sramana Mitra: Yes, and for that you need real grasp of what you’re doing. That’s when you started Veeva.

Peter Gassner: Yes. First, I decided I wanted to go back to work. I wanted to do technology stuff. The plan was to find a small technology company and run products for it. I thought I was very good at products. Not to have a lot of hubris but I thought, “If there’s anything I’m good at, it’s running product and engineering for technology companies.” I set out to do that.

I didn’t want to travel a long way from the East Bay. I didn’t want to go to San Francisco every day. I wanted to stay relatively local. The choice was limited. I looked around and I didn’t quite find the exact fit. I found one company but they didn’t want me. They thought I was not business-minded enough. I ran into some people. I think it was a connection through Marc Benioff. He said, “Craig Ramsey wants to invest in a startup. You guys should get together.” I certainly didn’t want to be a CEO because I thought that was not very creative. I did have that mindset at that age that it never hurts to talk. You might learn something.

I talked with Craig. One thing led to another. I knew I wanted to do cloud stuff. By this time, I thought, “I want to do something specific to an industry because that would be the next wave after the horizontal things like Accounting and Payroll.” You get to know your customers deeply. I had that in mind. Craig knew some people who were in the pharmaceutical industry. I thought that was good. On a good day, you’re getting people out of a wheelchair. I don’t have anything against the gambling industry, but it’s not the gambling industry. At the end of the day, you can prevent the death of a

young mother. Some of the things that used to be death sentences are not anymore. It's a growing industry.

I just thought, "When you start a startup, the most likely outcome is it'll fail. That's the math." If you don't believe in that, you don't understand math. Everybody thinks that their startup can't fail but that's illogical. I thought that was the most likely outcome. But if it didn't fail, I thought, "Being the CEO is like being the Head of Products. If it succeeds, we can get a CEO and I can be a Head of Products." Unexpected things happen and it didn't fail. I liked being the CEO.

Sramana Mitra: Where did you find traction? In building the product for the pharmaceutical industry, how did you scope the product? Did you have some anchor customers?

Peter Gassner: This wasn't that complex really. This was pharmaceutical CRM. We just decided to go there. It's a known area and these companies had systems for it. Either they were custom-made or they bought it from customized vendors.

Sramana Mitra: What's special about pharmaceutical CRM that is dramatically different from a Salesforce system?

Peter Gassner: Basically, the sales people are educators. They're not actually selling things. They don't close an opportunity or have a lead. They educate doctors on new therapies. They may bring them a drug sample. It's a mass market. There's about a million doctors in the United States. There's a lot of government regulations in each country around the world about what type of promotion you can do with the doctor because it involves human health and national budgets, especially in places outside the US.

For example in the United States, a commercial about a pharmaceutical product is legal but it does have some things that you have to do. In most other countries around the world, a TV commercial is not legal. Period. There's a lot of these regulations and processes that need a very special thing that they call PharmaCRM. It's not Salesforce automation. It's more of a system of tracking organized education. It's very specialized. A lot of people think it's easy. That application has a data model of probably 300 objects. It's complex. It's like a mini-ERP system.

Sramana Mitra: You were taking this whole workflow to the cloud. There were existing systems, but they were not modern cloud systems. There was a budget. People understood the need for this system. You were just modernizing the modern workflow.

Peter Gassner: I call it replacement parts. They already knew they needed something for dealing with this. We just said, "This type of thing is much better at doing that." We didn't have to convince people they needed that type of tool. They already knew they needed it. That was nice. The idea was nothing special. We did take a risk. I knew we had to take a risk.

When you start a company, you should try to do something that most people think is a bad idea because, otherwise, it's just too obvious. It would have already been done before. You always want to pick something that most people think won't work because the odds are against you. You've got to

get in on something that somebody else is not. I thought pharmaceutical CRM would be good and do it on the cloud and build it on top of Salesforce.

Peter Gassner: The thing that most people thought why it wouldn't be good was that they'd say, "Hey, there are no big companies doing pharmaceutical CRM. Therefore, it's not possible to build a big company doing it. What do you mean you will build your product on somebody else's platform? Nobody had done that before. By the way, don't you know that nobody would be able to buy you other than the company you're building the platform on. There's no exit. This is an absolute dead end."

I didn't take that as discouragement. I took that as encouragement. By the way, the guys who started Peoplesoft made this big bet. They were going to develop this client server on OS2. People thought, "You're crazy. You make money on mainframe software. You don't make money peddling around on this other thing." They had to pivot, but they made it. I thought, "It's just like those Peoplesoft guys. It might be good."

It turns out execution is important because there was another company that started doing this exact same thing probably about a year before we did – pharmaceutical CRM on Salesforce. Usually, the idea is not the main thing. It's execution that matters. We assembled a great team. We worked hard every hour, every day, every week. We just executed well.

Sramana Mitra: What were some of the highlights of things you did in that execution process that stand out in your mind as things that were important to achieve the success that you had?

Peter Gassner: The hiring is always the key thing. It sounds cliché but you can only get so far if you don't have good players that don't know how to work together. I looked for people who had range and could be very hands-on but can somewhat scale up to then manage a team over time. That's a specialized skill. I looked for that. I found some people who did that type of stuff. For sure, the most impactful things were the hiring decisions. I think everything else really pales. Beyond the team, some key decisions were how to leverage the Salesforce platform.

Sramana Mitra: You had deep knowledge of that platform.

Peter Gassner: Yes, because I had a big hand in building that platform. With any supplier that you deal with, they have a certain set of things and you have to figure out which of those things you can leverage. I had inside knowledge on that. A lot of the ex-Peoplesoft team who I brought to Salesforce were there. That was one. It was a business model thing where we're making an application on Salesforce.

How would the economic model work? Would we sell the application layer and Salesforce would sell the platform layer? Would you have two sales people in there and they will be collaborating together or we would OEM that platform and sell directly? We chose to OEM that platform. We decided we wanted to sell directly. That was a good choice, but I think more important than being a good choice, it was a clear choice. I would say to entrepreneurs to make a clear decision. You're not going to

know whether it's the correct decision. That all will happen in hindsight. There's no way to know ahead of time, but you can know if you're making a clear decision.

We just said, "We're OEM-ing this thing and we're not selling on top." Pricing discipline was important too. You have to know that if you're making a specialized product, you have to get a decent price for it. Otherwise, the economic model doesn't work out. If you sell it for too cheap, you'll disservice your customers because you won't be able to make a good product.

Sramana Mitra: What about funding?

Peter Gassner: We had funding from angel investors. We started off with \$3 million. Then we said, "This is good, but we need some funding from outside. We were looking for validation and professional funding, and the things that a VC could bring." We raised \$4 million. We thought we needed the money, but it turns out we didn't actually need that money. We never actually dipped into that \$4 million. The sales came faster than we thought. I didn't know what I was doing there, and I got lucky.

Sramana Mitra: How did Emergence find you? At that time, Emergence was just starting to evolve. I've known them for a long time. I'm friends with Brian Jacobs.

Peter Gassner: There's a funny story there. We were raising funds in 2008, which wasn't the prime time for fundraising. We said, "We're doing this industry-specific thing." We're building on Salesforce. The prevailing wisdom from all the VCs was, "That's a very small market. You're building on somebody else's platform? Don't you know there's no exit strategy?"

The vast majority of people just look at the basic and say, "He used to be smart, but he's not smart anymore." I met Gordon because he was an early investor in Salesforce. He was around in the early days of trying to figure out what to do with the platform. I liked him and thought, "He will be the one I'll reach out to." Gordon thinks far ahead. He built a firm around cloud software investing in 2000 when everybody thought that was crazy. In 2008, he was starting to think, "I got to invest in industry-specific things." Everybody was saying, "You can't invest in industry-specific things." He had this idea that that would be good. I think he believed in me too.

Sramana Mitra: I suppose you didn't have the objection of building on somebody else's platform. I know Kirk Krappe. He built the same thing. He built the whole contract management on top of Salesforce. He had this prior experience of doing the whole thing from scratch in contract management and raising venture capital. He got nowhere. He didn't make any money at all. He was very determined not to raise financing. He was doing more than \$5 million in revenue before he raised a penny of venture capital.

Peter Gassner: Yes. Gordon also thought, "Who knows how it's going to work out building on Salesforce. It might end up good. If so, there's a first mover advantage."

Sramana Mitra: Also, it's a lot less capital-intensive if you don't have to build the whole stack. If you're building on top of somebody else's stack, it takes away a huge amount of development costs.

Peter Gassner: It's logical. I've built platforms at Peoplesoft and Salesforce. I know how hard it is. The only issue at that time was there was no business model proof. I just thought, "It's logical and it could work out." Any VC that thinks I'm making an investment in a company and it's surefire home run, that's something you ought to be suspicious of.

Sramana Mitra: Also, there is this tendency in the venture capital industry to follow herds. They don't think for themselves. They identify a trend and everybody is running after that trend. Currently, that trend is AI. Everybody wants to invest in AI. I've seen those other trends. I've seen the SaaS trend. I've seen the social media trend. I have tremendous respect for investors who are contrarian investors and who have their own point of view. This is one thing that I've always liked about the beginnings of Emergence. It was a completely contrarian bet.

Peter Gassner: It is. It has this old notion of there's risk and reward. Why is it logical to search for the things with the least risk? It's not logical. Not many people want to take risk so therefore, that's where the reward must be. I don't think it's logical to seek out investments that don't have risk.

Sramana Mitra: At the same time, you have to be a thinker of a very different order to be able to reconcile all of those factors.

Peter Gassner: It's not logical to avoid risk in venture capital.

Sramana Mitra: That's what they're trying to do. That's the whole dichotomy of the whole business. You went public two years ago?

Peter Gassner: Almost three years ago.

Sramana Mitra: You are continuing to run Veeva at this point. Is that something you want to do long-term?

Peter Gassner: Yes. Honestly, for the first time in my life, I really have a career plan. I think that this will most likely be my last job. On most days when I'm not traveling, I ride my bicycle to work. I eat great healthy food at our kitchen. I work around great people. I'm solving complex puzzles. This is what I want to do.

Sramana Mitra: Thank you for your time. It was nice talking to you.